

DENMARK

PENSION SYSTEM

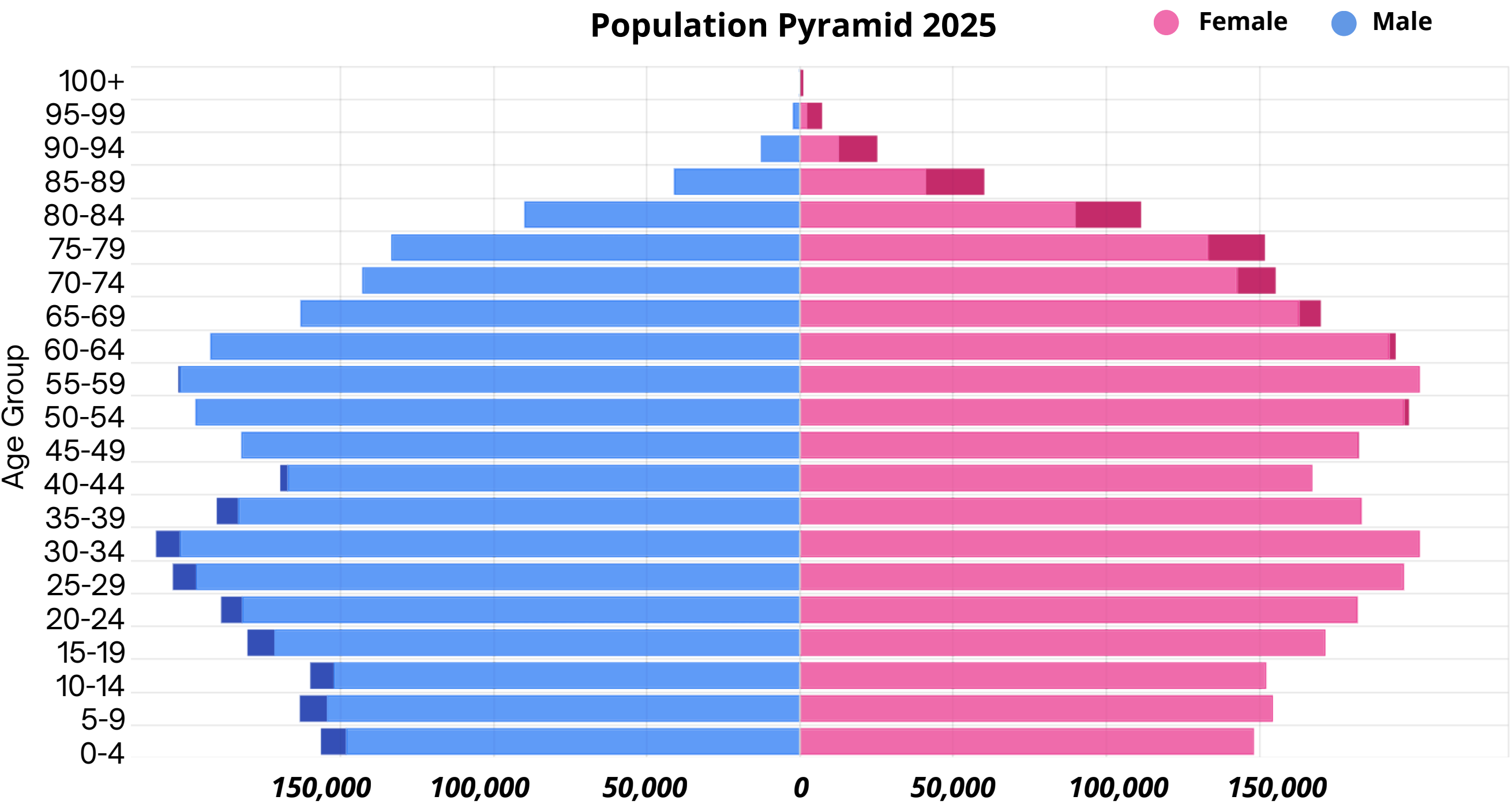
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DEMOGRAPHIC DATA



Source: UN World Population Prospects, 2025

DEMOGRAPHIC DATA

KEY POINTS

- 1. **Population growth**
 - From 6.0 million (March 2026) to 6.2 million (2070)
 - Growth slowed by lower immigration
- 2. **Strong population ageing**
 - Old-age dependency ratio: 34.1% → 53.8%
 - Fewer workers per retiree
- 3. **Significant increase in life expectancy**
 - Men: ~86 years
 - Women: ~90 years
- 4. **Higher survival rates**
 - ~95% reach age 65
 - Survivor rates at age 80:
 - Men: ~80%
 - Women: ~88%

UNEMPLOYMENT RATE 2025

DENMARK: 6.1%
EU: 5.9%

ANNUAL INFLATION 2025

DENMARK: 2.2%
EU: 2.6%

	2019	2030	2050	2070
Population growth rate	0.3	0.2	0.1	0.1
Old dependency Ratio (65+/20-64)	34.1	41.4	47.9	53.8
Ageing of the aged (80+/65+)	23.4	31.5	38.9	39.3
Men				
Life Expectancy	79.5	81.0	83.7	86.1
Average labour market exit age	65.0	66.1	68.0	69.5
Duration of Retirement	18.4	18.7	19.0	19.8
Survivor rate at 65+	87.0	89.1	92.1	94.2
Women				
Life Expectancy	83.3	84.8	87.5	89.8
Average labour market exit age	64.1	65.5	67.6	69.2
Duration of Retirement	21.9	21.4	21.7	22.6
Survivor rate at 65+	91.8	93.2	95.1	96.5

Source: ECO-Austria ‘Pensionssysteme in Europa’

EVOLUTION OF THE PENSION SYSTEM

TIMELINE



1956-1957
FOLKEPENSION
introduced as
public old-age
pension

1980s - 1990s
OCCUPATIONAL PENSIONS
expanded significantly

2011
Retirement reform set
gradual increase in
pension age
from **65** to **67**

2020
TIDLIG PENSION
introduced

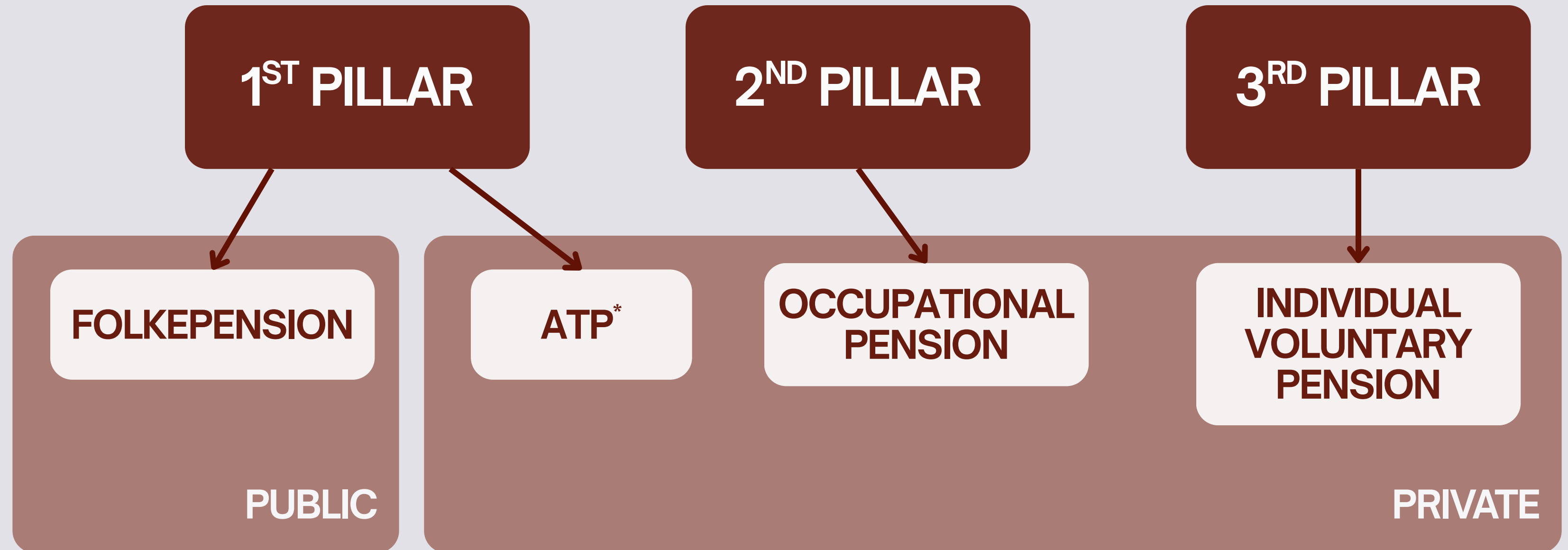
1964
ATP established
as **statutory**
labour-market pension
supplement

2006
Welfare reform
strengthened link between
pension age and **life**
expectancy

2015
Parliament confirmed
pension age increase
to **68** from **2030**

1ST JULY 2025
New **residence rule**
for full Folkepension

PENSION STRUCTURE



FOLKEPENSION RIGHT TO HAVE A PENSION



- State pension is primarily **based on residence** rather than on contribution records.
- For receiving a **full pension**, it requires **residence in Denmark for 9/10 of the accrual period**.
- Otherwise, benefits are reduced proportionally.

1ST PILLAR FOLKEPENSION

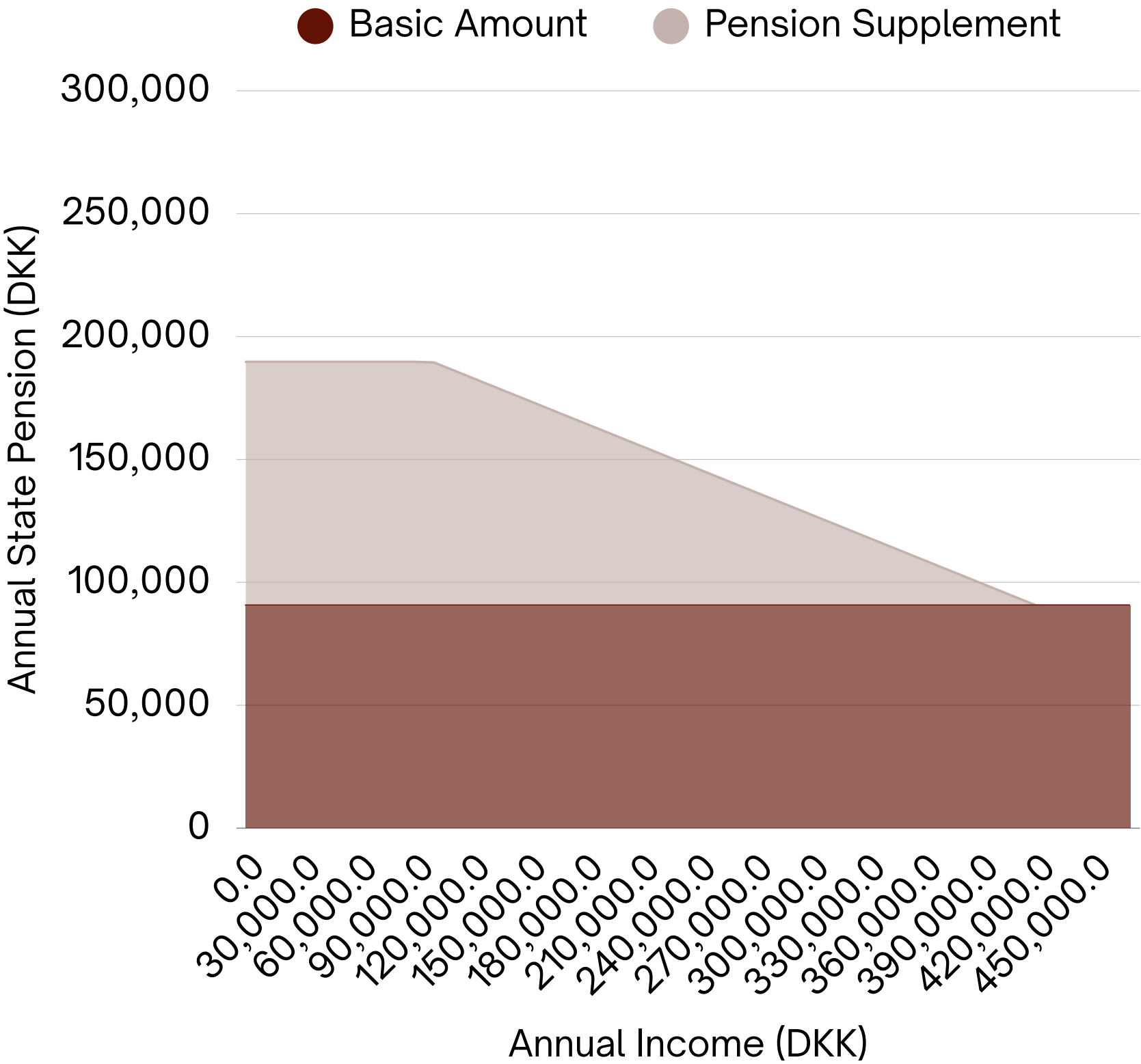
Funding:

Tax-financed **PAYG** scheme

Benefits:

Basic amount + means-tested supplement

	Single	Married/ Cohabiting
Basic amount	DKK 90,531	DKK 90,531
Supplement amount	DKK 104,746	DKK 53,608
Total	DKK 195,277	DKK 144,139



1ST PILLAR ATP

Funding:

Statutory, fully funded **defined-contribution** scheme

Contributions:

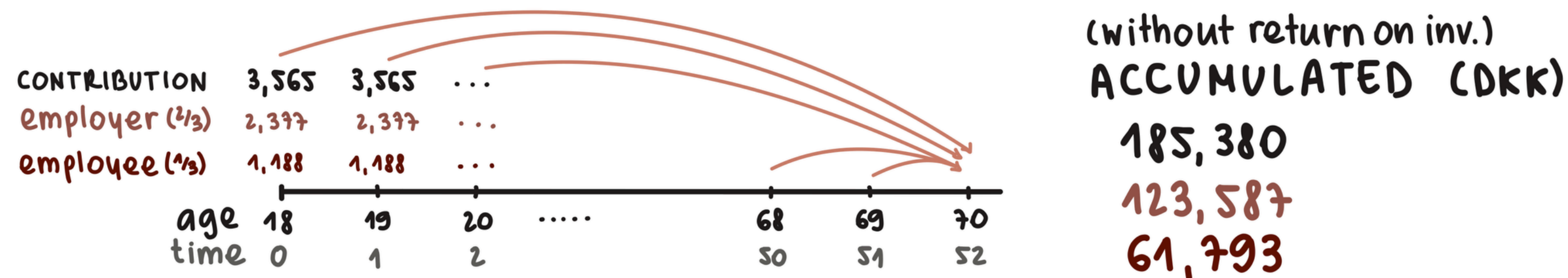
- Fixed amount based on hours worked
- $\frac{2}{3}$ employer, $\frac{1}{3}$ employee
- Approximately DKK 3,565 per year

Benefits:

- Lifelong guaranteed annuity
- Actuarially adjusted if deferred (up to 10 years max)

1ST PILLAR ATP

BEFORE RETIREMENT



AT RETIREMENT

t = 52 we have

- GUARANTEED PENSION = 80% contributions
DKK 2,852 $\ddot{s}_{\overline{52}|i=3\%} \approx 347,262$
- BONUS POTENTIAL = 20% contributions
DKK 713 $\ddot{s}_{\overline{52}|i=10\%} \approx 1,059,107$

$$\text{Pension} = \frac{C \ddot{s}_{\overline{52}|i}}{dx} \sum_{t=0}^{\infty} v^t \cdot {}_t p_x$$

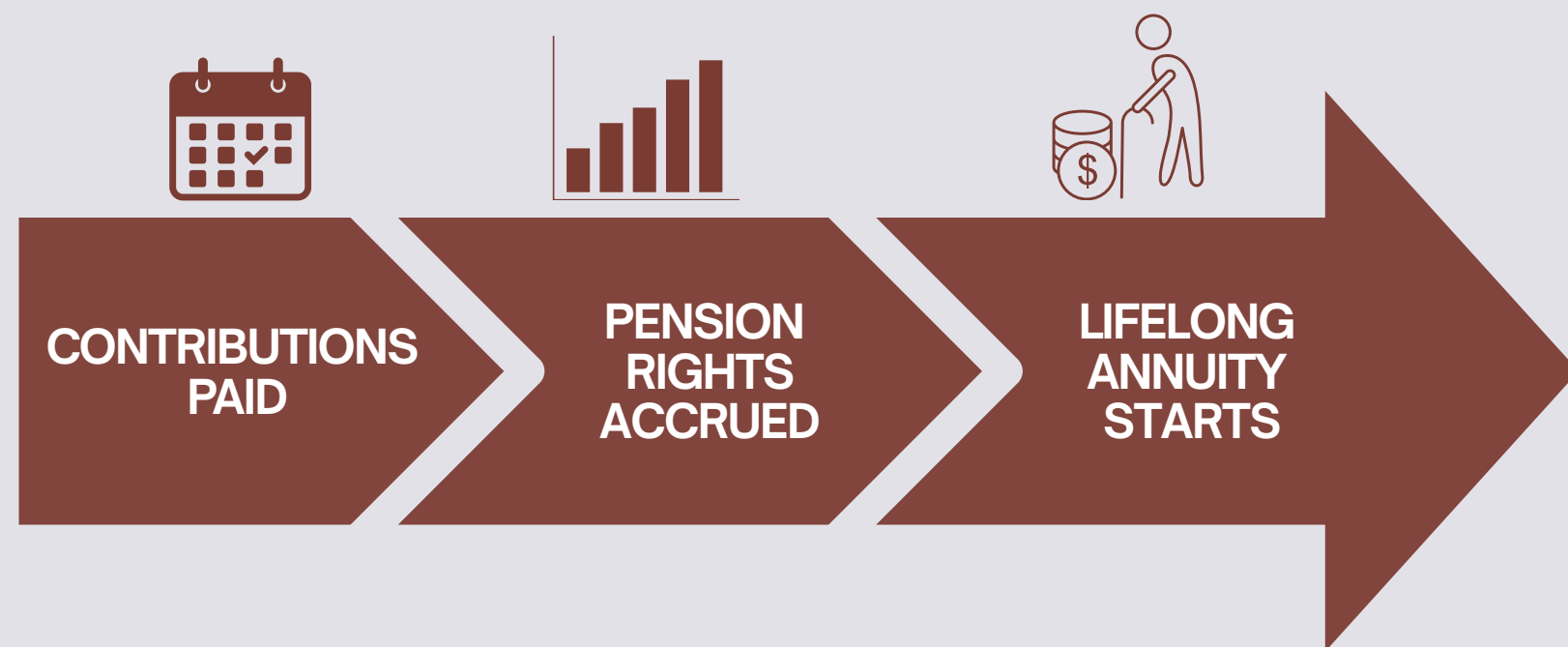
1ST PILLAR ATP

AFTER RETIREMENT

YEAR 1 $\approx$ 19,600

YEAR 2 $\approx$ 19,600 + bonus potential

⋮
until death



PEOPLE AGED OVER 100
MARCH 2026

1,189



Assuming a **20-year retirement** total amount of DKK 392,000, from which **the pensioner only paid DKK 61,793** which is **16%** of what he is receiving, the rest come from the common pool and investment returns.

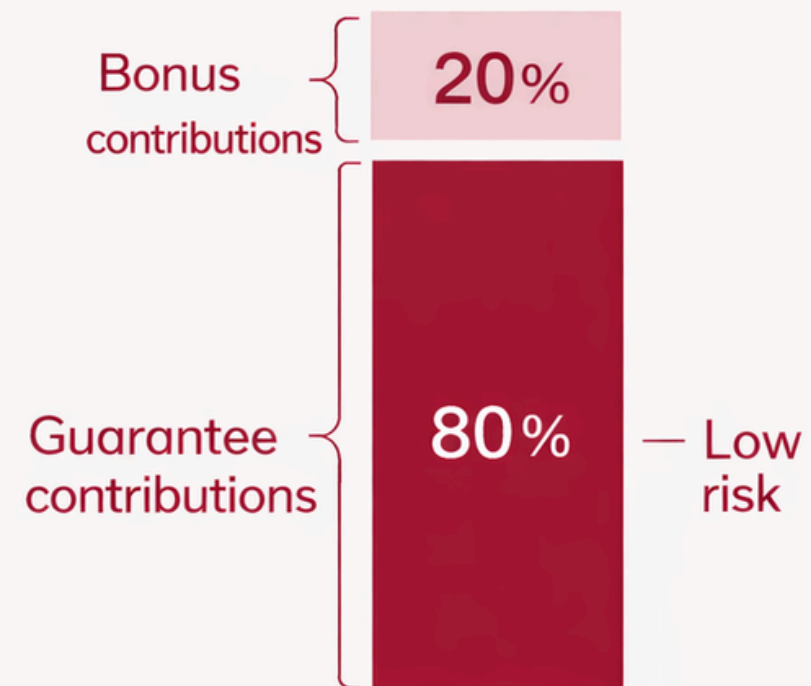
ATP

ASSET ALLOCATION

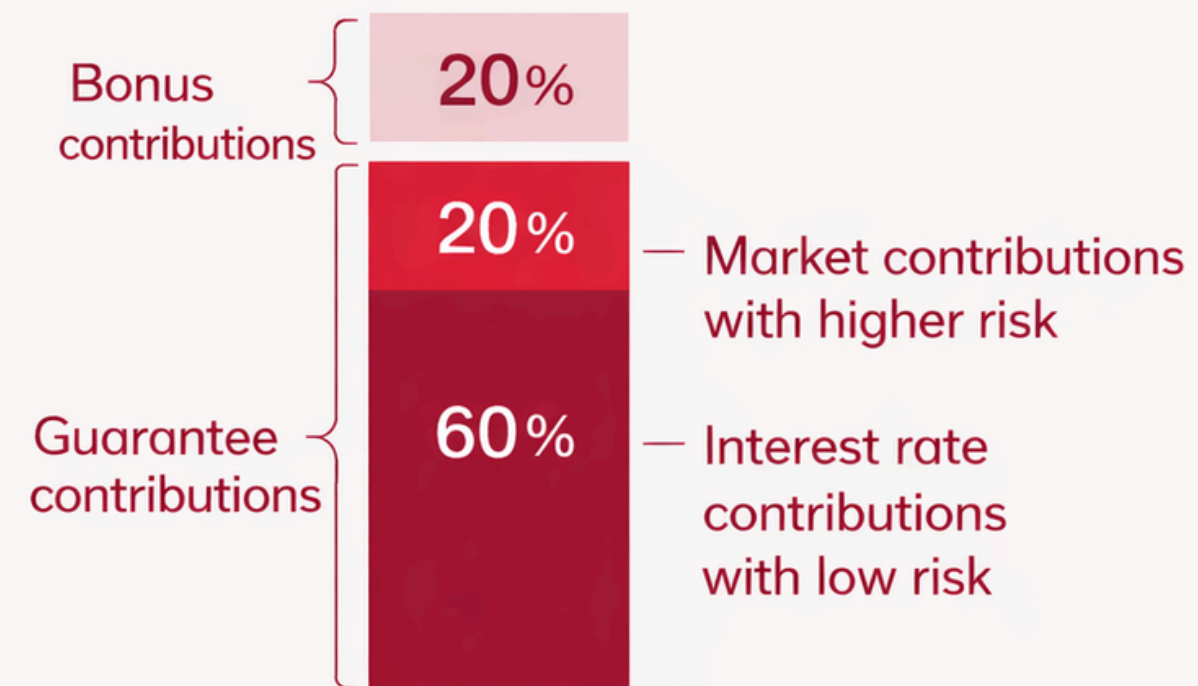
	HEDGE FUND	INVESTMENT FUND
Proportions	80%	20%
Objective	Guarantee nominal pension payments, protect liabilities	Generation of higher returns, in order to build reserves and balance out costs
Investment Strategy	Long-term approach focused on capital preservation	Diversify portfolio of alternative instruments
Instruments	Long-term bonds Interest rate swaps	Equities, private equity, infrastructure, real estate
ALM	Matches assets to liabilities	Generates surplus (bonus potential)

ATP ASSET ALLOCATION

Members' contributions



**Members with less than
15 years to go until retirement**



**Members with more than
15 years to go until retirement**

Source: ATP Financial Statement

2ND PILLAR OCCUPATIONAL PENSIONS

Funding:

Fully funded

Contributions:

Usually **defined-contribution** schemes negotiated in collective agreements

Contribution rates: 12-17% *

Benefits:

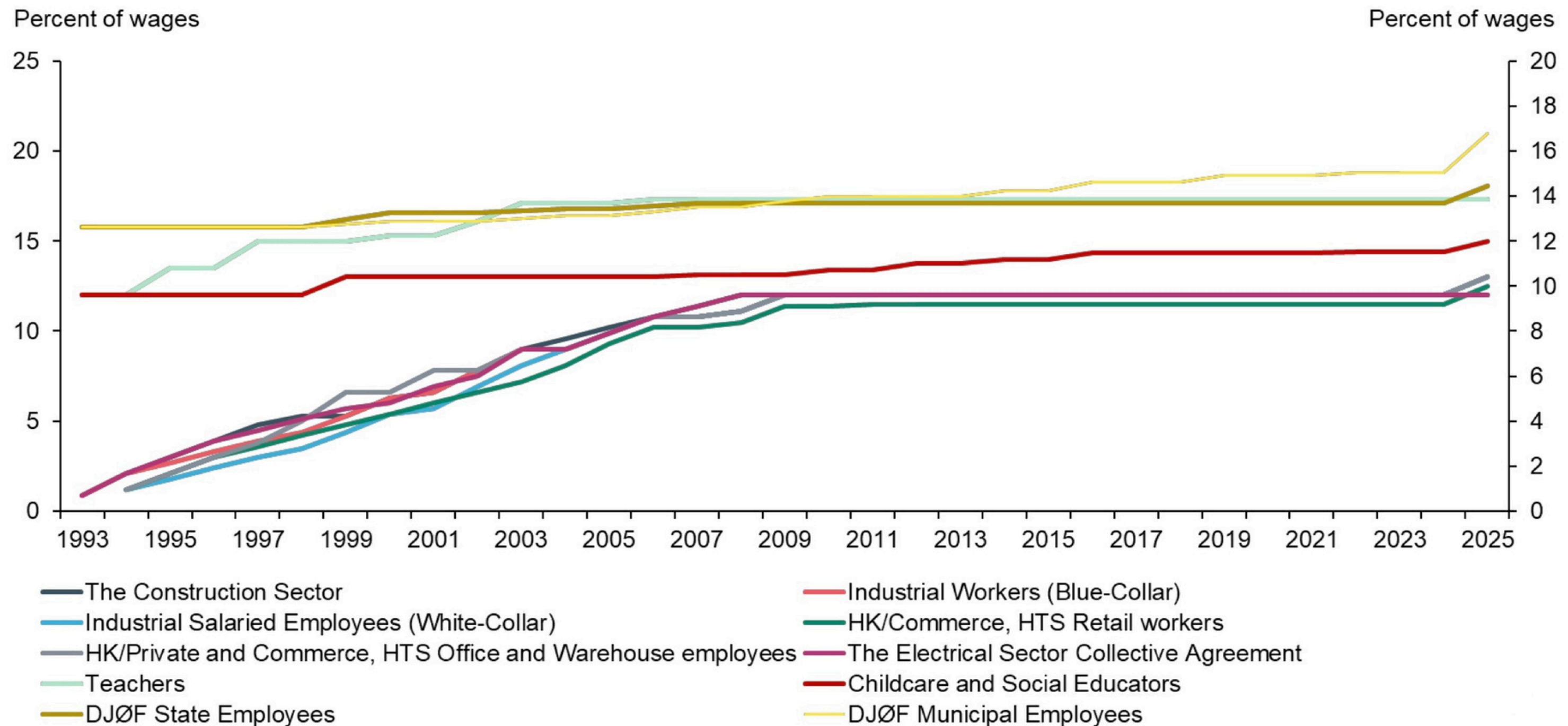
Earnings-related retirement income typically paid through life annuities and lump sums

3RD PILLAR PRIVATE PENSIONS

Voluntary individual pension savings, used to complement public and occupational pensions

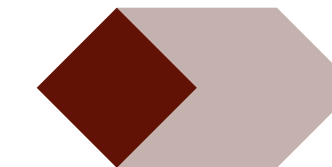
2ND PILLAR OCCUPATIONAL PENSIONS

Contribution rates to occupational pension schemes by occupational groups



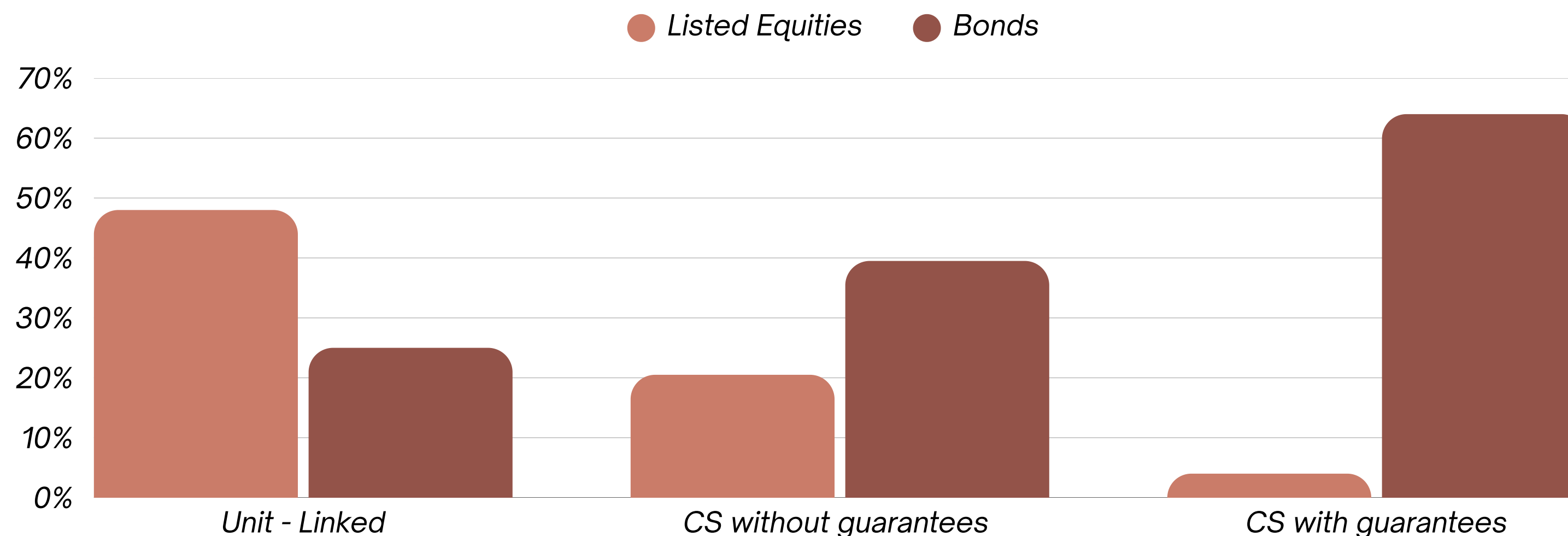
Source: Denmark Finance Department 2024

OCCUPATIONAL PENSIONS ASSET ALLOCATION



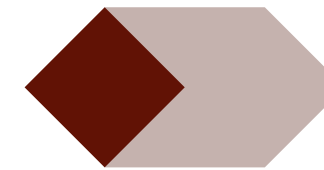
The Danish pension system is an example of a **savings-based pension system** in which investment risk and higher expected returns have gradually replaced pension schemes with guarantees over the years.

Investments of occupational pension schemes

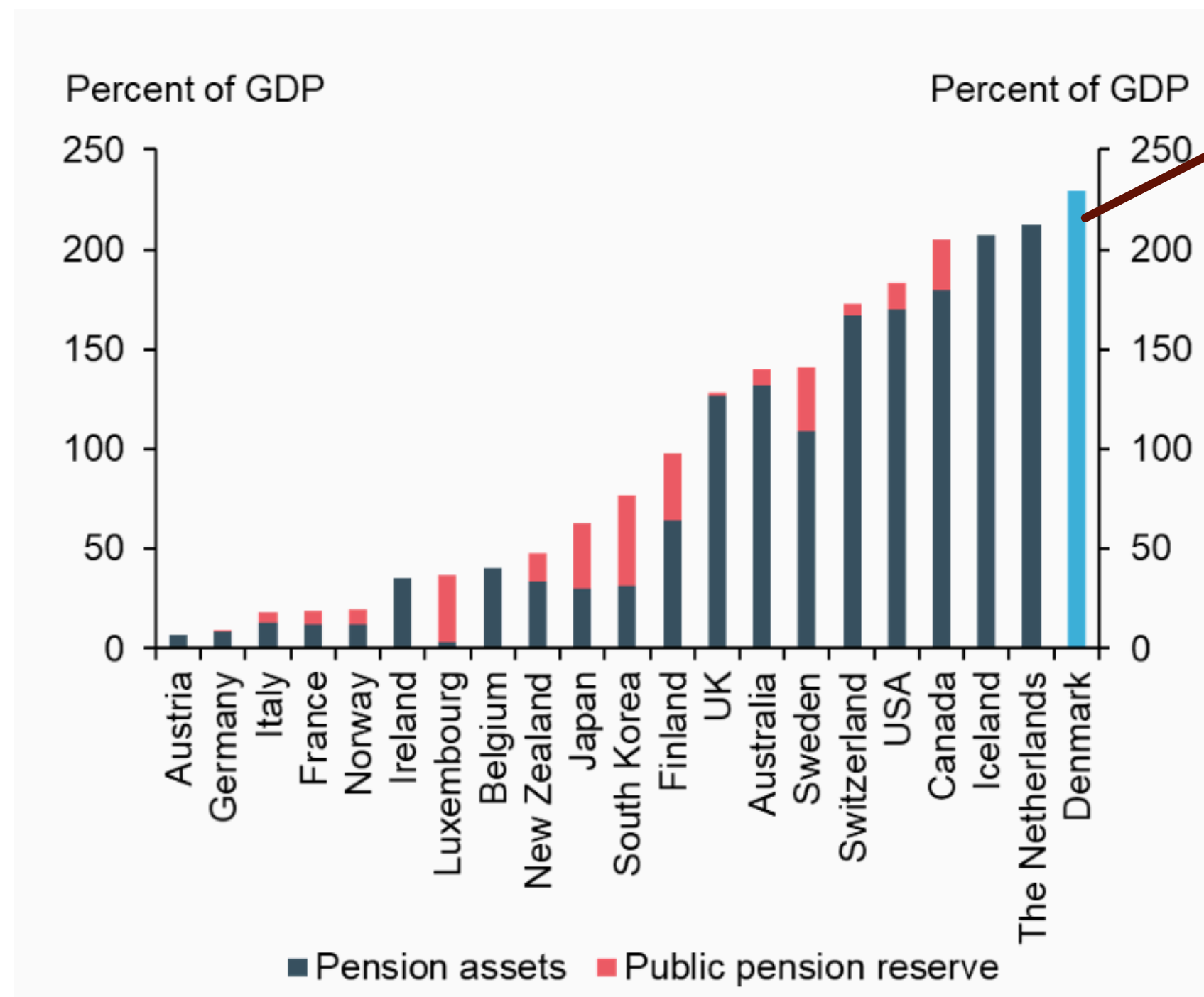


Source: Denmark National Bank

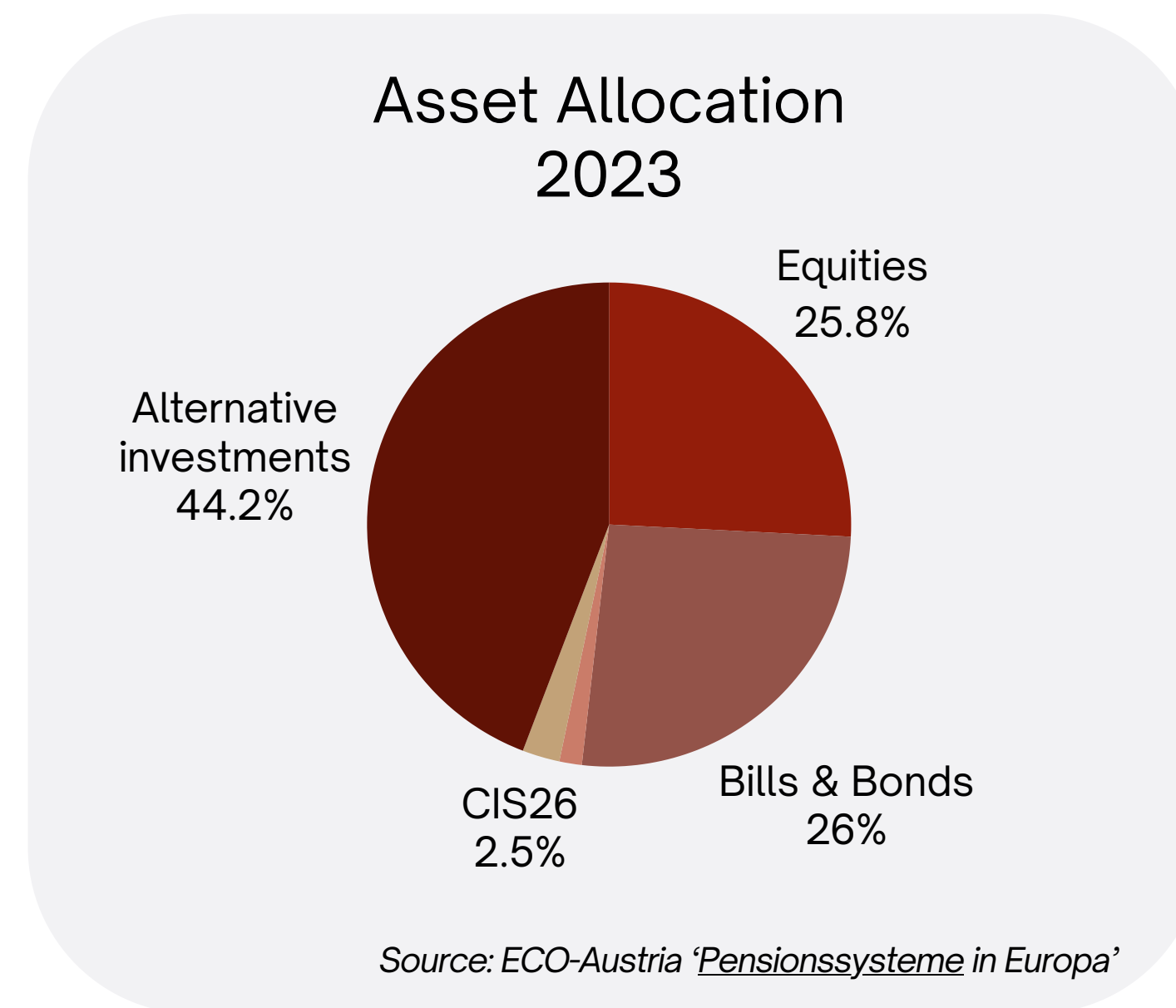
FULL SYSTEM PENSION ASSETS



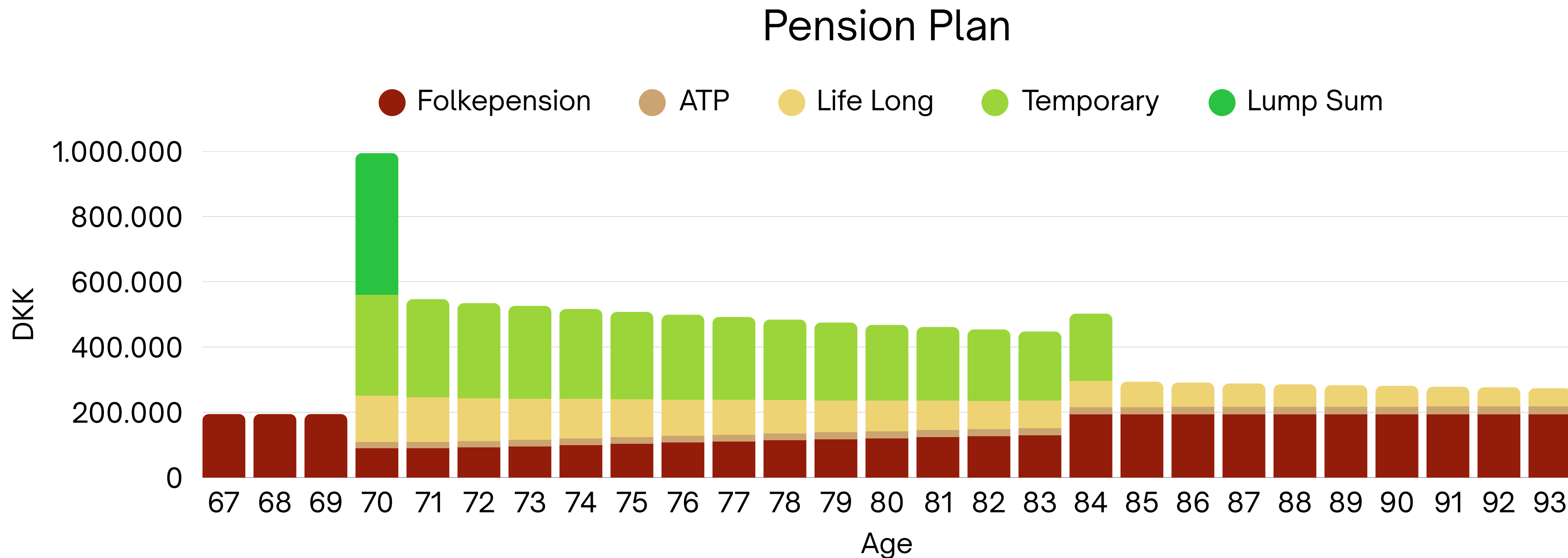
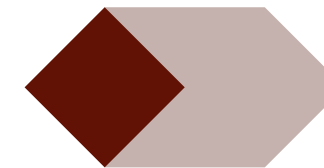
Pillar	P1	P2	P3
Assets	€ 96bn	€ 452 bn	€ 140 bn
% of GDP	~ 32%	~ 150%	~ 46%



Source: Denmark Finance Department 2024



FULL SYSTEM RETIREMENT PLAN



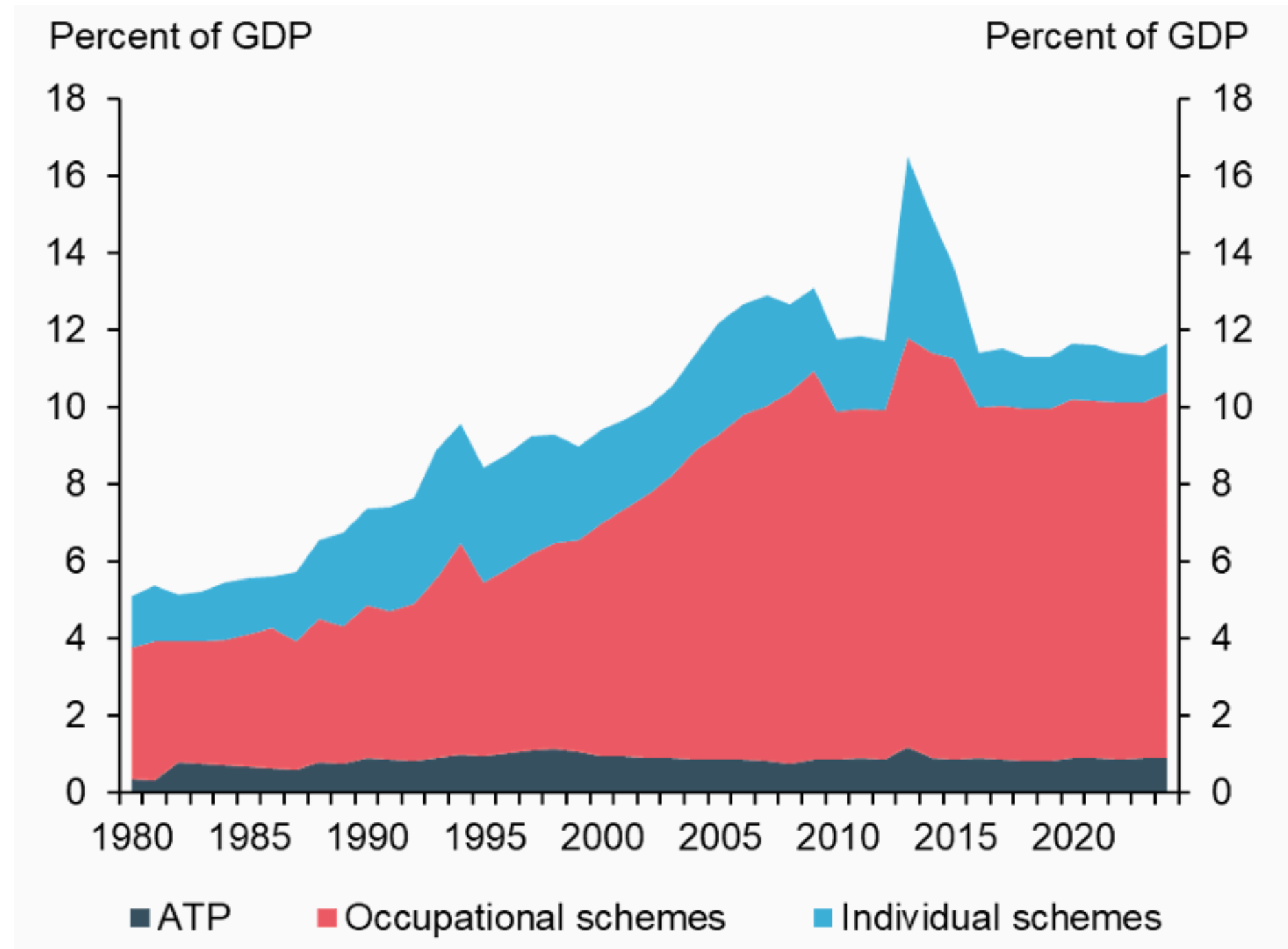
Data: Pension Denmark

Pensions	63-65 year	66 year	67-69 year	70 year	71-84 year	From 85	Purchasing power value
State pension	0 DKK	0 DKK	90,000 DKK	90,000 DKK	90,000 DKK	90,000 DKK	
⑤ State pension - basic amount	0 DKK	0 DKK	90,000 DKK	90,000 DKK	90,000 DKK	90,000 DKK	Constant —
Once and for all	0 DKK	0 DKK	0 DKK	434,000 DKK	0 DKK	0 DKK	
Ⓐ PensionDanmark 0401650555 "Kapitalpension" (lump sum)	0 DKK	0 DKK	0 DKK	66,000 DKK	0 DKK	0 DKK	
Ⓕ Nykredit Bank 111111111 "Aldersopsparing" (lump sum)	0 DKK	0 DKK	0 DKK	273,000 DKK	0 DKK	0 DKK	
Ⓐ PFA Pension 111111111 "Kapitalpension" (lump sum)	0 DKK	0 DKK	0 DKK	95,000 DKK	0 DKK	0 DKK	
Annually for some years	0 DKK	0 DKK	0 DKK	308,600 DKK	299,900 DKK	0 DKK	
⑤ Industriens Pension 0401650555 Fixed-term annuity pension · Paid out over 15 years	0 DKK	0 DKK	0 DKK	20,900 DKK	20,500 DKK	0 DKK	Falling 📉
Yearly, as long as you live	0 DKK	0 DKK	0 DKK	161,600 DKK	156,800 DKK	99,800 DKK	
⑤ ATP 111111111 Lifelong pension	0 DKK	0 DKK	0 DKK	19,600 DKK	19,800 DKK	22,800 DKK	Rising 📈
⑤ PFA Pension 111111111 Lifelong pension	0 DKK	0 DKK	0 DKK	142,000 DKK	137,000 DKK	77,000 DKK	Falling 📉
Yearly total	164,000 DKK	0 DKK	90,000 DKK	994,200 DKK	546,700 DKK	189,800 DKK	

Ⓐ Taxed with 40 % Ⓕ Tax-exempt ⑤ Taxed like earned income

Explanation

FULL SYSTEM CONTRIBUTIONS



VARIANT CAREERS

- Mainly **affect funded pension** accrual.
- The impact is partly moderated by the public pension.
- ATP contributions continue during **parental leave** and unemployment, while occupational pension accrual is generally interrupted.
- Self-employed workers are not mandatorily covered by employee earnings-related schemes.
- Denmark also provides specific **early retirement** pathways.

EARLY RETIREMENT PENSION

DISABILITY PENSION

- **Permanent loss of work capacity**
- Available before normal pension age

HEALTH-BASED EARLY RETIREMENT

- For workers with **health limitations**
- Long **full-time career** required

VOLUNTARY EARLY RETIREMENT

- **Linked to unemployment insurance**
- **Long membership/contribution record** required

LONG CAREERS

- Based on **years in the labour market**
- Up to 1 - 3 years early retirement

TAXATION

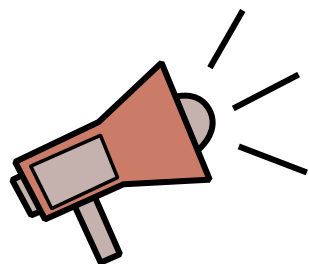
Pension Type	Funding Source	Tax on Contributions	Tax on Returns	Tax on Benefits	Key Notes
First pillar	Tax-financed (government)	-	-	Progressive income tax (≈ 8–40%)	No payroll tax applied
Second Pillar: Occupational pensions	Employer + employee contributions	Taxed (8% payroll tax) but income tax deductible	T	Progressive income tax (≈ 8–40%)	Can be used for Tax deductions
Third Pillar: Private pension savings	Individual contributions	Generally exempt or deductible	T	Progressive income tax (≈ 8–40%)	-
Life-long & rate pensions	Occupational / private schemes	Taxed (8% payroll tax) but income tax deductible	T	Progressive income tax (≈ 8–40%)	No payroll tax at payout stage, can be used for Tax deductions at the moment of contribution
Capital pensions (post-2012 reform)	Individual / occupational	T	T	E	Flat ~40% taxation applied upfront

STRENGTHS & WEAKNESSES OF THE SYSTEM



In 2025, the Danish Pension System was ranked based on the Overall Pension Index (OPI) :

- **A** with regard to “Adequacy”
- **A** with regard to “sustainability ”
- **B⁺** with regard to “Integrity”



- The funded occupational pension system is still maturing (all pensioners will have made pension savings over a full work life around 2050-2060).
- Strong dependence on migration to sustain the workforce and limit increases in the old-age dependency ratio (55 vs 51), without migration, the working-age population drops by 13.5% by 2060.



THANKS!

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